

Asian Industrial Technology

Asian Industrial Tech: The Barometer (July/August 2026)



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In July and August, China FA continued to grow at near-peak rate, although growth moderated slightly from the levels observed in May and June. In the RoW, the recovery continued to strengthen, led by solid growth momentum in Japan. Readers can download the complete barometer data set here: [Global Industrial Barometer](#).

We highlight three datasets for China: 1) In August, the official manufacturing PMI and the PMI for production grew to 49.8 (was 49.2, Exhibit 2), and 50.4 (was 49.9); PMI for new orders increased to 50.6 (was 48.5, Exhibit 4). More relevant to factory automation, PMI for high-tech manufacturing and equipment manufacturing remained at expansion level 52.9 (was 53.3) and 51.4 (was 51.4). 2) In July, Japan's machine tool orders from China continued to grow but at a slightly slower pace than in June (30.3% YoY in July vs. 49.1% YoY in June, excluding FX effects, Exhibit 16), and the strength remained broad-based with electrical and precision machinery recording the strongest momentum (Exhibit 17). 3) In July, production volume of metal-cutting machine tools grew at 4% YoY (was 18.1%) and industrial robots' production remained strong at 30.2% YoY (was 28.1%). (Exhibit 18, Exhibit 28)

Global: 1) In July, Japan's machine tool orders grew 50.4% YoY (was 52.7%) (Exhibit 36). Growth in Japan accelerated further to 50.2% YoY in July vs. 45.5% YoY in June (Exhibit 37). Excluding FX effects, growth in North America was 37.2% YoY (was 29.4%), and the growth was broad-based with particularly strong performance in the auto sector and aircraft and shipbuilding sector (Exhibit 40); growth in EU accelerated from 6.7% to 33.0% YoY, although electrical and precision machinery remained in decline. 2) In August, the manufacturing PMI in all major economies stayed in the expansion range (U.S. 53.2; Eurozone 52.8; Japan 55.1; Exhibit 33 to Exhibit 35). 3) In June, Japan's key automation production and orders showed better momentum, Growth was particularly strong in pneumatic component production which rose 45.9% YoY (Exhibit 51) and robot orders, which increased 37% YoY (Exhibit 43). Japan manufacturing utilization index reached 107.2 (Exhibit 55).

DETAILS

EXHIBIT 1: Momentum Tracker

			Lastest period	Data type / unit	(a) Latest	(b) Previous	(c) YTD	(d) Previous FY	Momentum (a) vs. (b)	Momentum (c) vs. (d)
China	Macro Indicator									
	M1	Jul-26	YoY Growth	4.0%	4.0%	4.9%	3.7%	→	↑	
	PMI in Manufacturing	Aug-26	Index	49.8	49.2	49.8	49.6	↑	↑	
	RatingDog Manufacturing PMI	Jul-26	Index	50.9	51.7	51.4	50.3	↓	↑	
	Emerging Industries PMI	Aug-26	Index	47.8	47.8	51.1	50.9	→	↑	
	FAI - Overall	Jul-26	YTD Growth	-6.7%	-5.7%	-1.8%	1.4%	↓	↓	
	FAI in Manufacturing	Jul-26	YTD Growth	-1.7%	-1.2%	0.9%	5.8%	↓	↓	
	FAI in Equipment Purchase	Jul-26	YTD Growth	9.0%	8.1%	10.6%	15.5%	↑	↓	
	Manufacturing Capacity Utilization	2Q26	Value (%)	73.0	73.6	73.3	74.4	↓	↓	
	Industrial Profit Growth	Jul-26	YoY Growth	11.2%	15.1%	17.6%	0.6%	↓	↑	
	Manufacturing Value-Add	Jul-26	YoY Growth	5.5%	6.0%	5.4%	6.3%	↓	↓	
	PPI: All Industries	Jul-26	Index	100.8	101.5	100.3	98.1	↓	↑	
	Floor Space: Started	Jul-26	YTD Growth	-24.2%	-23.5%	-22.7%	-22.6%	↓	↓	
	Equipment Production									
	Excavator (Sales Volume)	Jul-26	YoY Growth	13.9%	35.3%	68.9%	17.0%	↓	↑	
	Electric Motors	Jul-26	YoY Growth	-2.2%	1.5%	-0.1%	-0.5%	↓	↑	
	Metal-cutting Machine Tool	Jul-26	YoY Growth	4.0%	18.1%	0.8%	9.7%	↓	↓	
	Packaging Machinery	Jul-26	YoY Growth	-17.9%	5.1%	-4.8%	18.2%	↓	↓	
	Metal-shaping Machine Tool	Jul-26	YoY Growth	13.3%	5.9%	5.8%	7.2%	↑	↓	
	Multiple Units	Jul-26	YoY Growth	-100.0%	109.4%	27.0%	6.7%	↓	↑	
	Locomotives	Jul-26	YoY Growth	90.2%	-6.9%	28.6%	16.7%	↑	↑	
	Industrial Robots	Jul-26	YoY Growth	30.2%	28.1%	28.5%	28.0%	↑	↑	
World	Purchasing Managers' Index (PMI)									
	World	Jul-26	Index	52.1	52.2	51.9	50.3	↓	↑	
	United States	Aug-26	Index	53.2	53.9	53.4	51.7	↓	↑	
	Eurozone	Aug-26	Index	52.8	51.9	51.5	49.1	↑	↑	
	Japan	Aug-26	Index	55.1	54.5	53.8	49.0	↑	↑	
	Emerging Markets	Jul-26	Index	51.0	51.4	51.3	50.6	↓	↑	
	Manufacturing Utilization and Investment									
	Japan Manufacturing Utilization	Jun-26	Index	107.2	103.0	104.5	102.5	↑	↑	
	US Manufacturing Utilization	Jul-26	Value (%)	76.0	75.9	75.5	75.3	↑	↑	
	US Industrial Equipment Investment	2Q26	YoY Growth	10.8%	7.4%	9.1%	6.8%	↑	↑	
	EU Manufacturing Utilization	2Q26	Value (%)	78.0	77.9	78.0	77.8	↑	↑	
	Japan Machine Tool Orders									
	Total Japan Machine Tool Orders	Jul-26	YoY Growth	50.4%	52.7%	37.8%	8.0%	↓	↑	
	from Japan	Jul-26	YoY Growth	50.2%	45.5%	26.5%	-0.2%	↑	↑	
	from China	Jul-26	YoY Growth	30.3%	49.1%	37.1%	17.1%	↓	↑	
	from Asia ex-China	Jul-26	YoY Growth	67.1%	72.0%	43.9%	5.6%	↓	↑	
	from EU	Jul-26	YoY Growth	33.0%	6.7%	12.7%	1.3%	↑	↑	
	from North America	Jul-26	YoY Growth	37.2%	29.4%	29.0%	19.0%	↑	↑	
	Japan Industrial Robot Export Volume									
	Total Industrial Robot Export	Jul-26	YoY Growth	-0.3%	11.2%	20.6%	26.8%	↓	↓	
	to China	Jul-26	YoY Growth	-2.3%	23.7%	21.2%	37.6%	↓	↓	
	to Asia ex-China	Jul-26	YoY Growth	38.8%	15.5%	31.2%	5.3%	↑	↑	
	to US	Jul-26	YoY Growth	-6.1%	-14.0%	7.7%	92.4%	↑	↓	
	to EU	Jul-26	YoY Growth	-24.7%	-4.9%	18.6%	-8.8%	↓	↑	
	Japan Automation Production and Order									
	Servo Motor Production	Jun-26	YoY Growth	-8.5%	-15.9%	7.5%	0.3%	↑	↑	
PLC Production	Jun-26	YoY Growth	-10.2%	-22.2%	-18.9%	41.2%	↑	↓		
Reducer Production	Jun-26	YoY Growth	10.3%	8.2%	16.0%	-8.7%	↑	↑		
Robot Production	Jun-26	YoY Growth	7.5%	-0.6%	13.5%	19.6%	↑	↓		
Pneumatic Components Production	Jun-26	YoY Growth	45.9%	34.7%	29.5%	5.6%	↑	↑		
Robot Order	Jun-26	YoY Growth	37.0%	33.5%	38.2%	41.1%	↑	↓		

NBS, JMTBA, METI, Japan Ministry of Finance, US BEA, PMIII, Haver, Bloomberg, Wind, Bernstein analysis.

Source: Momentum Tracker

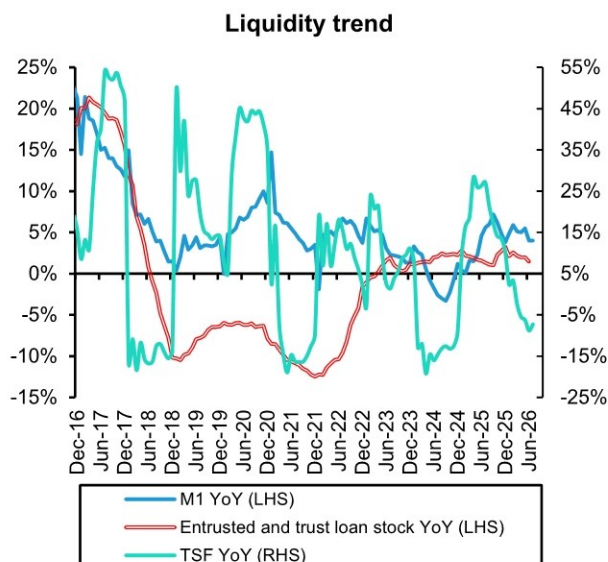
CHINA

EXHIBIT 2: China manufacturing PMI trend



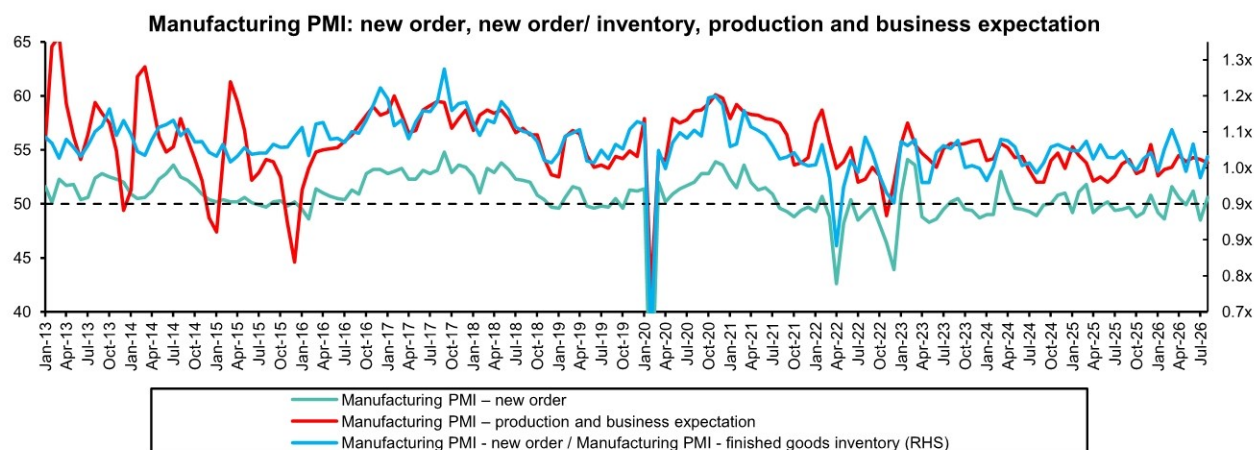
Source: Haver, Bloomberg, Bernstein analysis

EXHIBIT 3: Liquidity tracker: M1, TSF and entrusted & trust loan trends



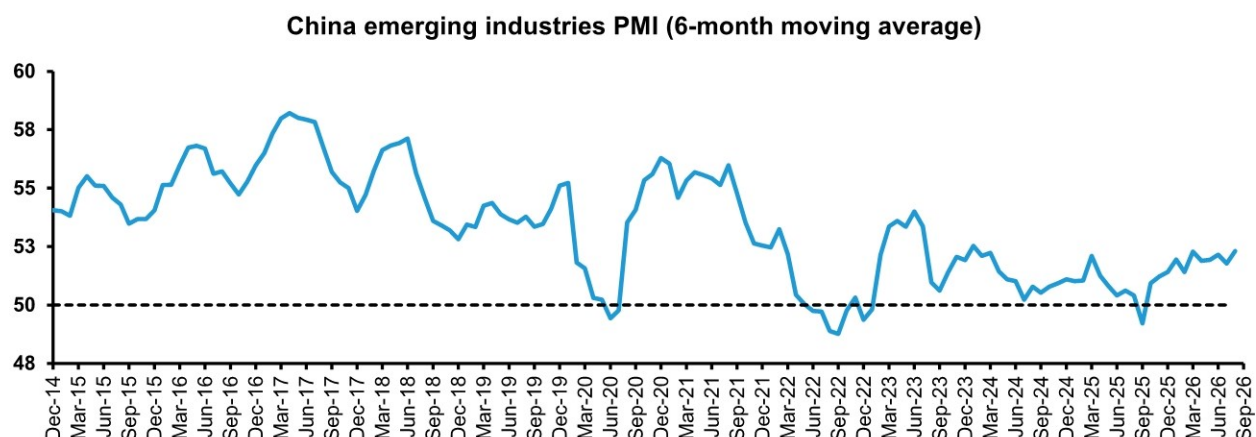
Source: Haver, Bernstein analysis

EXHIBIT 4: China new order, new order/inventory, production and business expectation PMIs



Source: Haver, China National Bureau of Statistics, Bernstein analysis.

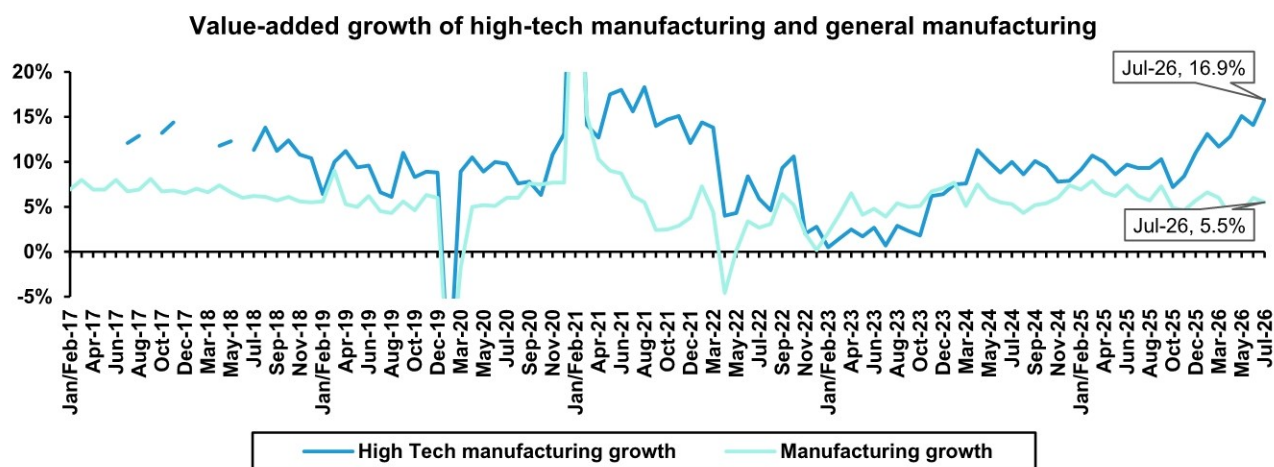
EXHIBIT 5: China emerging industries PMI (6-month moving average)



Note: The EPMI includes 280 sample companies in seven industries including energy conservation and environmental protection, new generation information technology, biotechnology, high-end equipment manufacturing, new energy, new materials, and new energy automobile industry. The EPMI survey is a monthly survey, which is greatly affected by seasonal factors and has large data fluctuations. The comprehensive index and sub-indices of EPMI currently released are seasonally adjusted data.

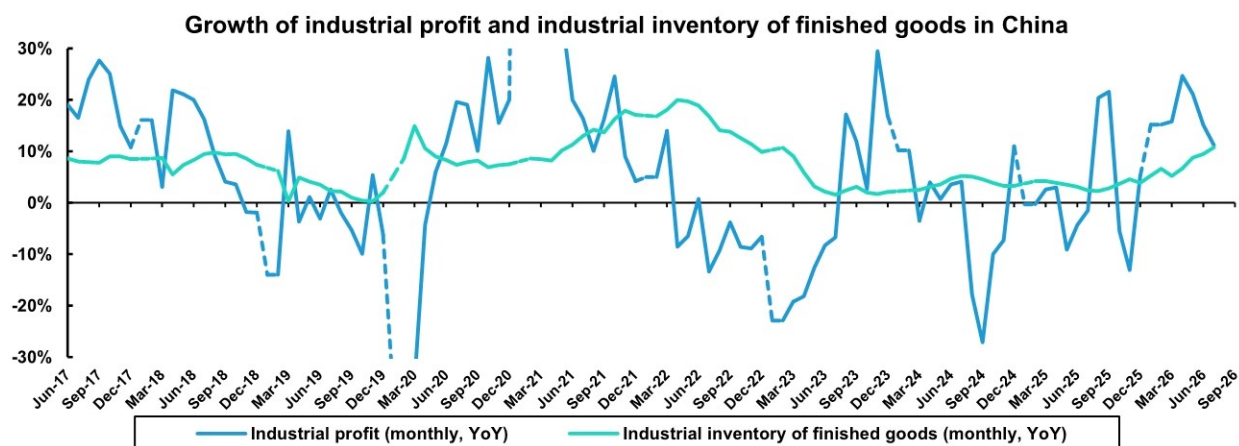
Source: Wind, Chinese Academy of Science and Technology for Development, PMIII, Bernstein analysis

EXHIBIT 6: Value-added growth of high technology manufacturing and general manufacturing

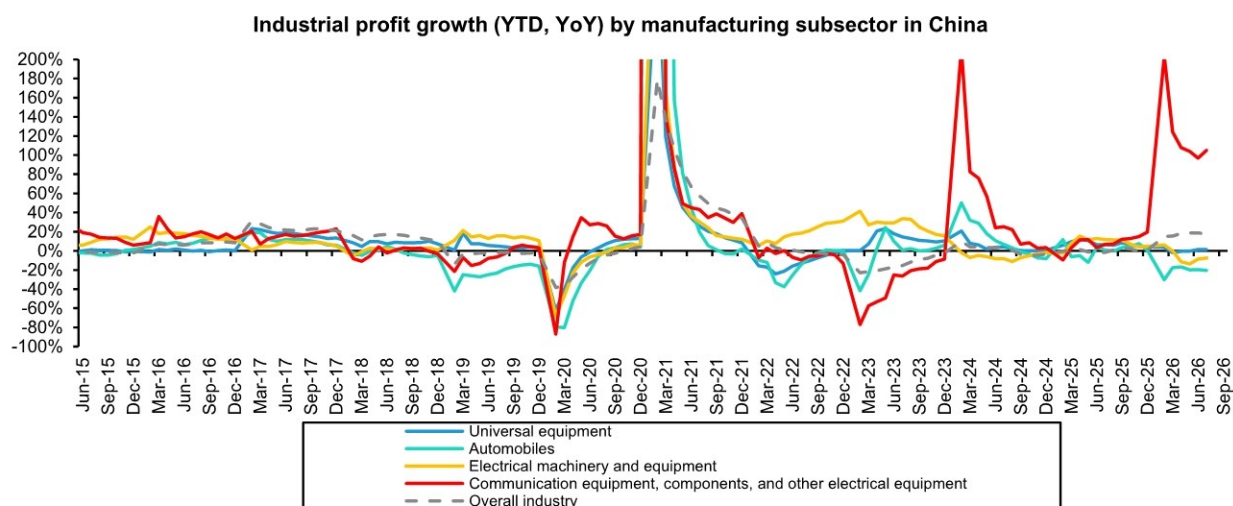


Note: Pricing effect has been removed from the value-added growth rate.

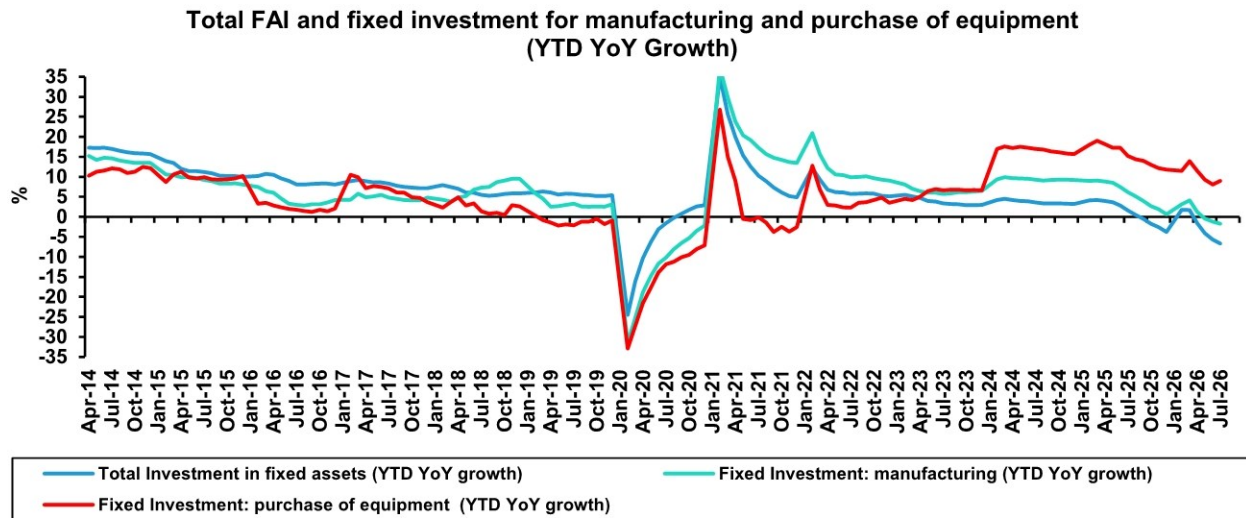
Source: NBS, Bernstein analysis.

EXHIBIT 7: Growth of industrial profit and inventory of finished goods in China (YoY)

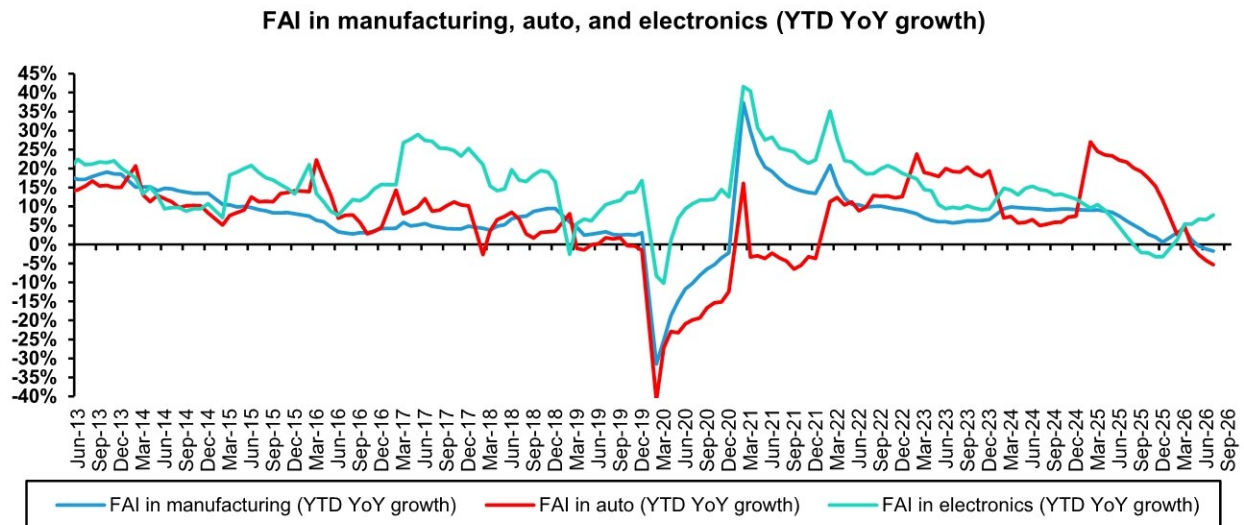
Source: Wind, National Bureau of Statistics of China, Bernstein analysis

EXHIBIT 8: Industrial profit trend across key manufacturing subsectors

Source: NBS, Haver, Bernstein analysis

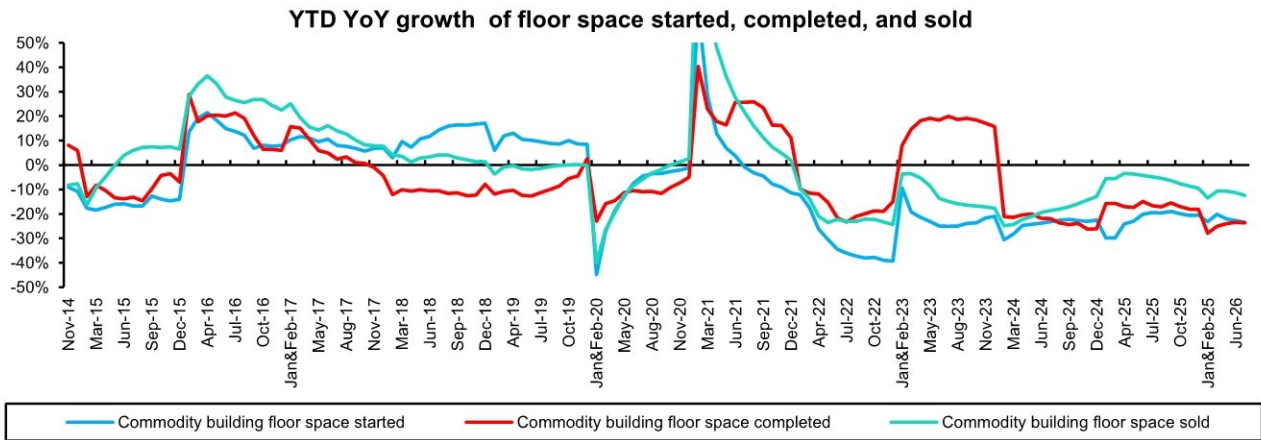
EXHIBIT 9: **Total Fixed Asset Investment (FAI), FAI in manufacturing, and FAI in purchase of equipment**

Source: NBS, Haver, Bernstein analysis

EXHIBIT 10: **FAI in manufacturing, auto, and electronics**

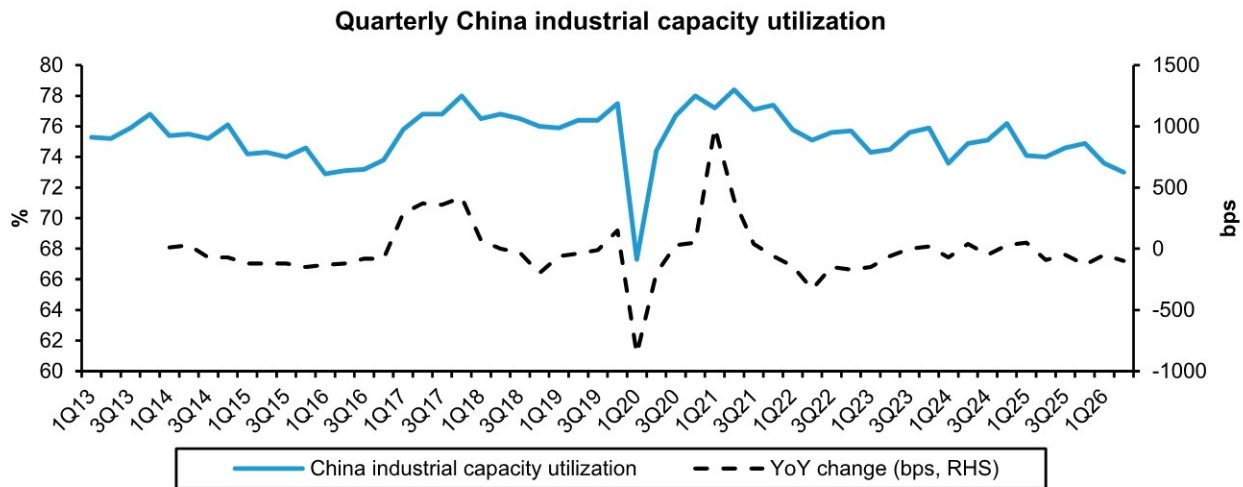
Source: NBS, Haver, Bernstein analysis

EXHIBIT 11: Real estate development trend

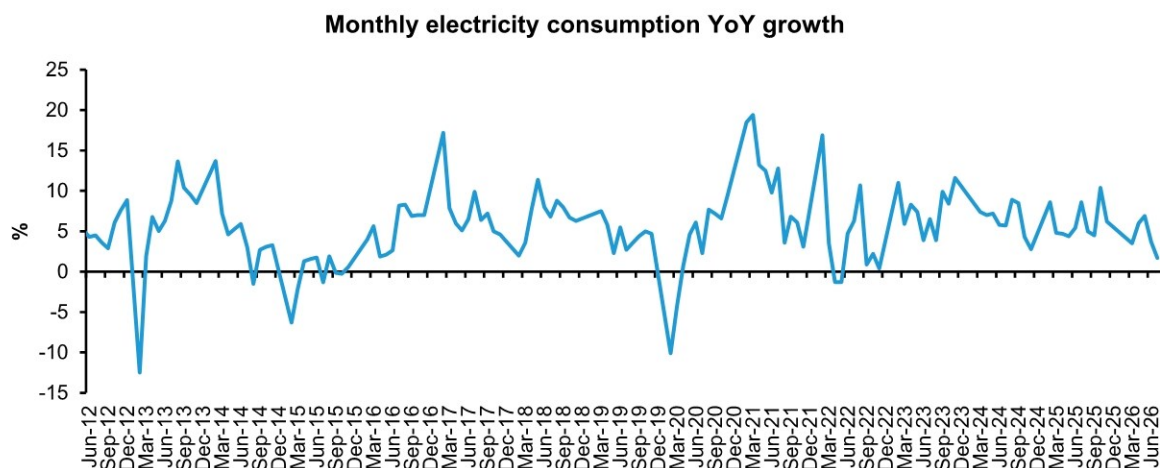


Source: NBS, Haver, Bernstein analysis

EXHIBIT 12: China industrial capacity utilization by quarter

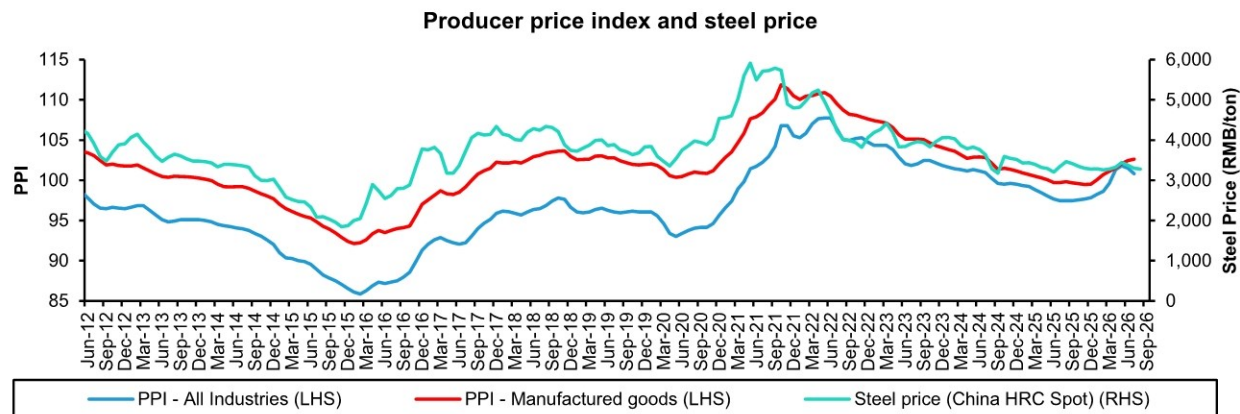


Source: Haver, Bernstein analysis

EXHIBIT 13: **Power consumption growth**

Note: No data in December and January.

Source: Haver, Bernstein analysis

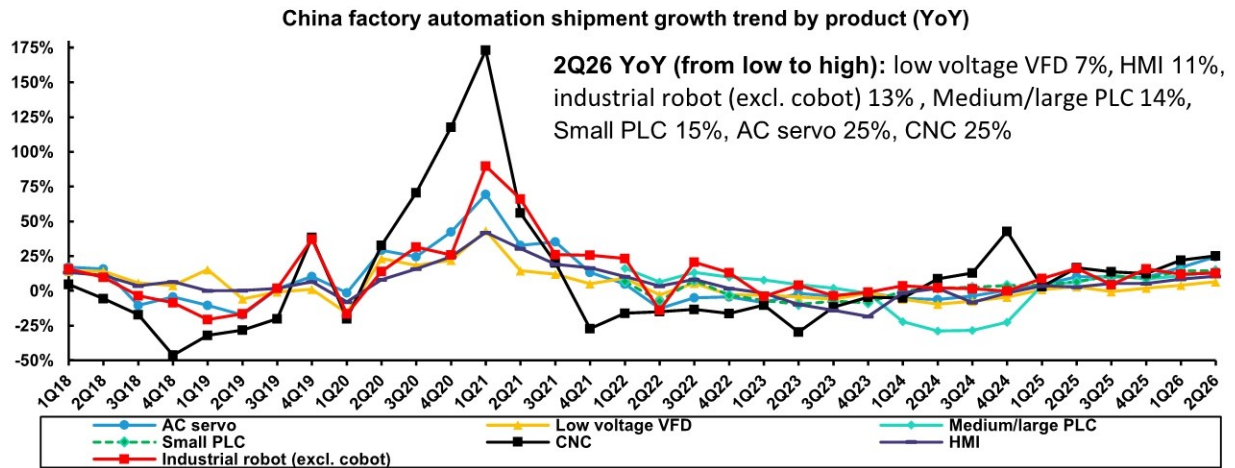
EXHIBIT 14: **PPI and steel price trends**

Note: Manufactured goods exclude mining, quarrying and raw materials.

Source: Haver, Bernstein analysis.

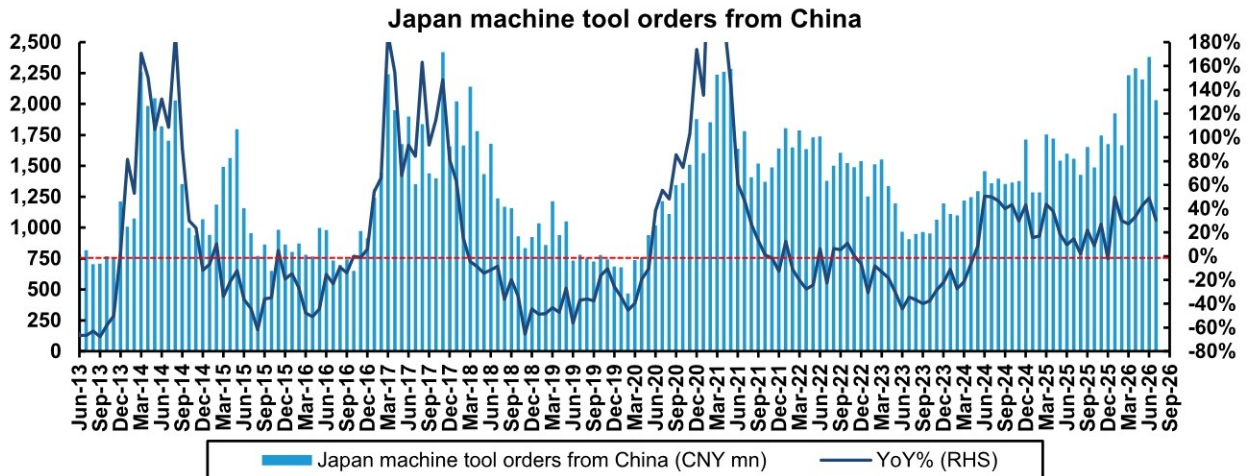
Equipment sales and production

EXHIBIT 15: China factory automation shipment value growth trend by product (YoY)



Source: MIR Databank, Bernstein analysis

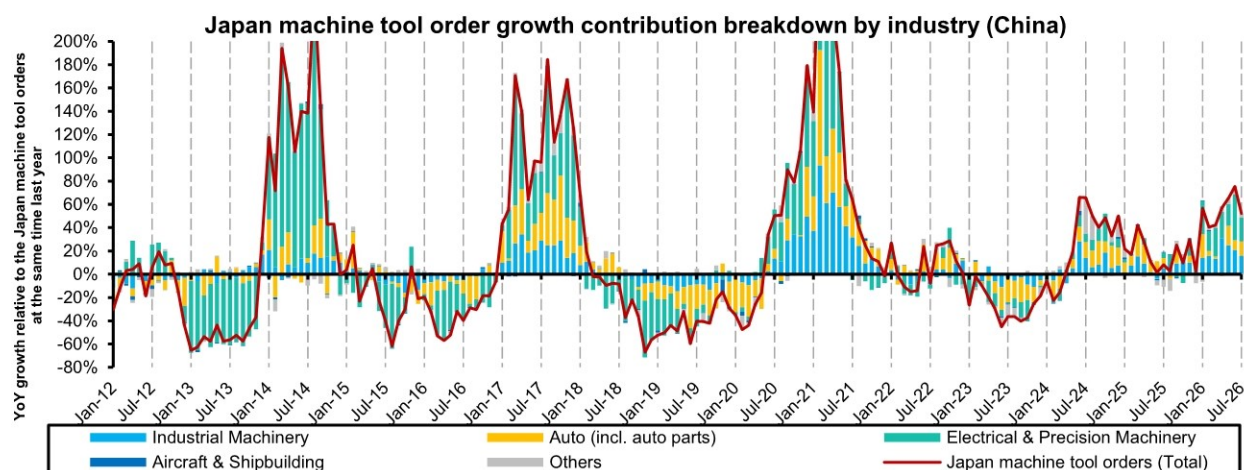
EXHIBIT 16: Japan machine tool orders from China and YoY growth



Note: We adjusted the value to local currency to reflect the true demand.

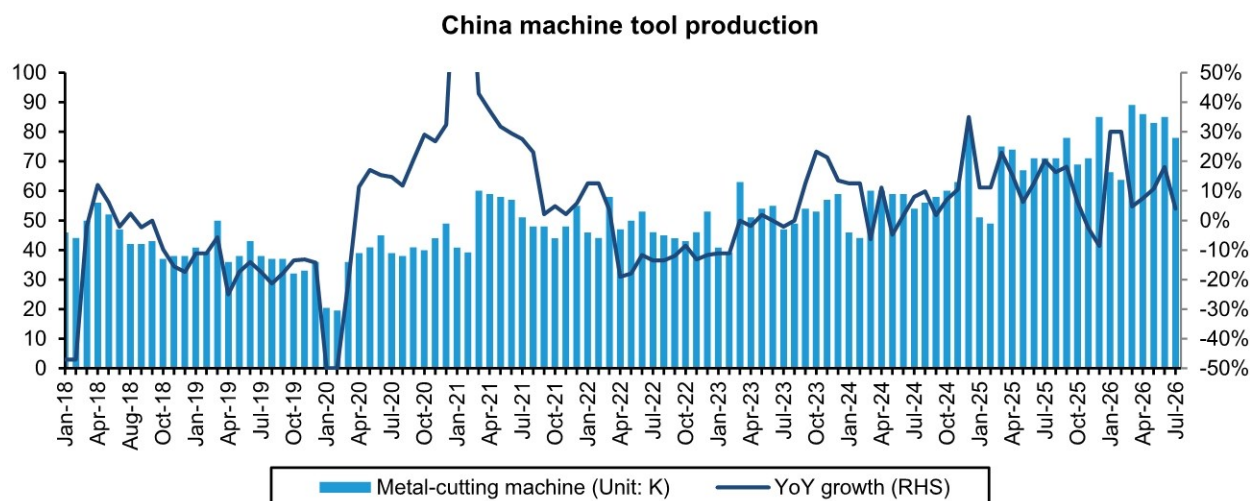
Source: Bloomberg, JMTBA, Bernstein analysis

EXHIBIT 17: Japan machine tool order growth contribution breakdown by industry (China)



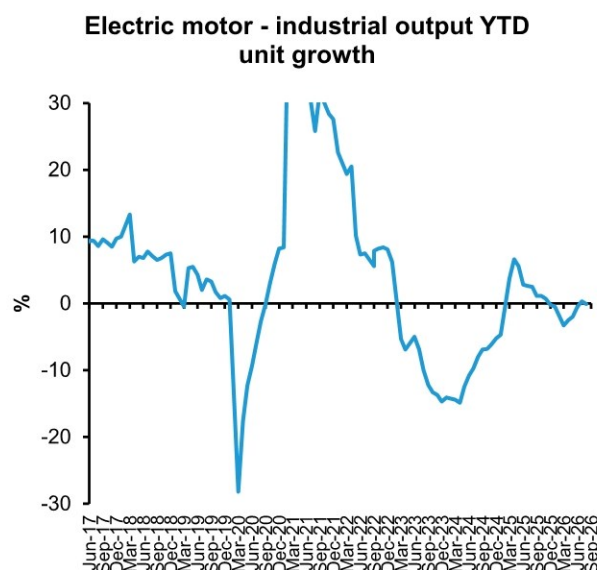
Source: JMTBA, Bernstein analysis

EXHIBIT 18: China metal-cutting machine tool production and YoY growth



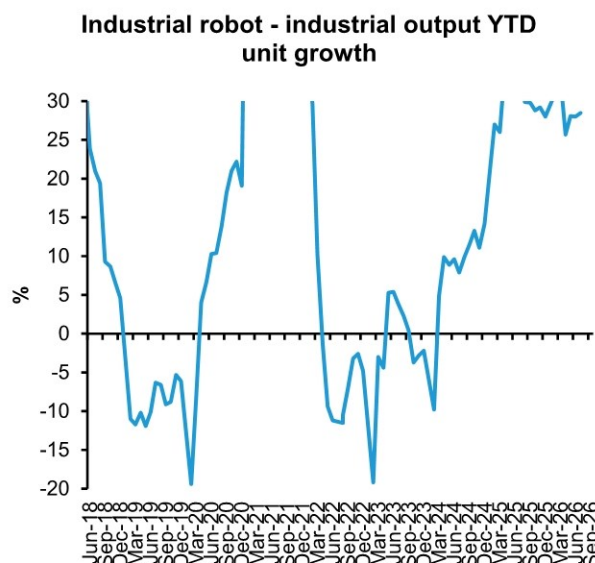
Note: The year-over-year percent changes of the monthly volume data do not always match the published year-over-year percent changes because the monthly volume data come from enterprises that are not the same from year to year whereas the published growth rates are calculated from enterprises that are the same from year to year.

Source: Haver, Bernstein analysis.

EXHIBIT 19: **Electric Motor: Industrial output YTD growth**

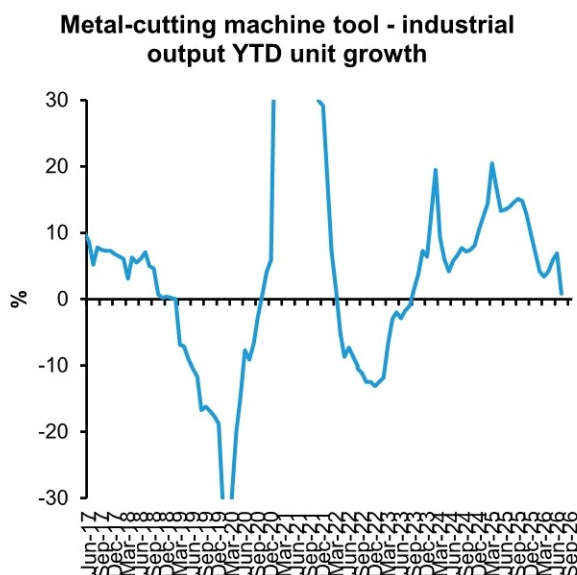
Note: The published year-to-year percent changes of the monthly YTD volume series are not always the same as the calculated year-to-year percent changes because the monthly YTD volume data come from enterprises that are not the same from year to year whereas the published growth rates are calculated from enterprises that are the same from year to year.

Source: Haver, Bernstein analysis.

EXHIBIT 20: **Industrial Robot: Industrial output YTD growth**

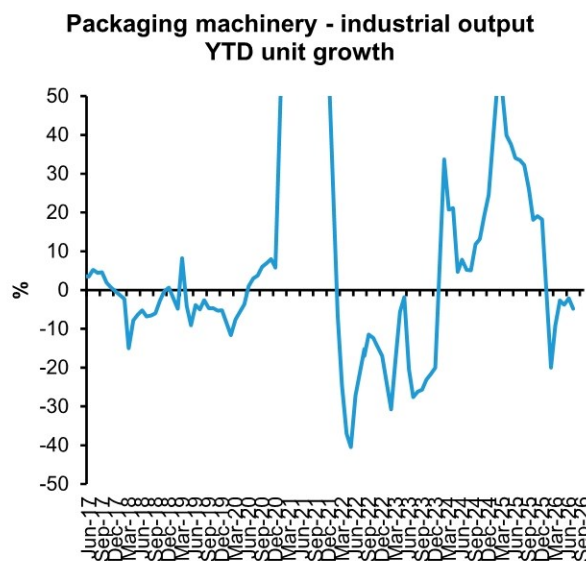
Note: The published year-to-year percent changes of the monthly YTD volume series are not always the same as the calculated year-to-year percent changes because the monthly YTD volume data come from enterprises that are not the same from year to year whereas the published growth rates are calculated from enterprises that are the same from year to year.

Source: Haver, Bernstein analysis

EXHIBIT 21: **Metal-cutting Machine Tool: Industrial output YTD growth**

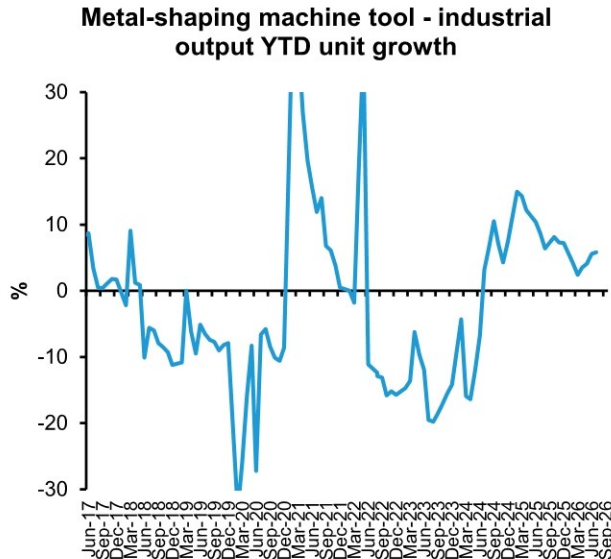
Note: The published year-to-year percent changes of the monthly YTD volume series are not always the same as the calculated year-to-year percent changes because the monthly YTD volume data come from enterprises that are not the same from year to year whereas the published growth rates are calculated from enterprises that are the same from year to year.

Source: Haver, Bernstein analysis.

EXHIBIT 22: **Packaging Machinery: Industrial output YTD growth**

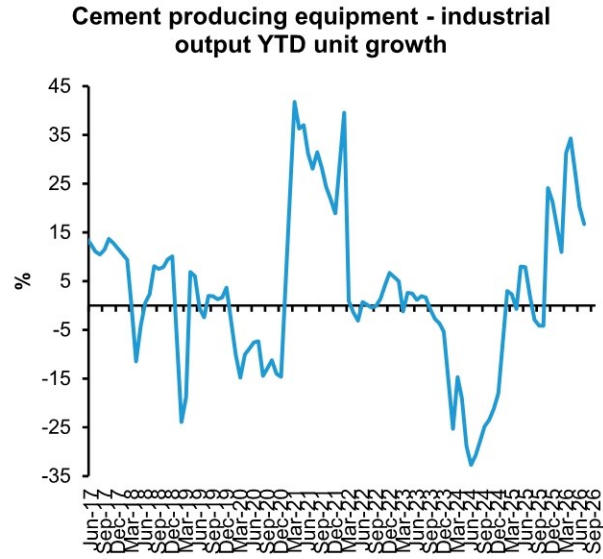
Note: The published year-to-year percent changes of the monthly YTD volume series are not always the same as the calculated year-to-year percent changes because the monthly YTD volume data come from enterprises that are not the same from year to year whereas the published growth rates are calculated from enterprises that are the same from year to year.

Source: Haver, Bernstein analysis.

EXHIBIT 23: Metal-shaping Machine Tool: Industrial output YTD growth

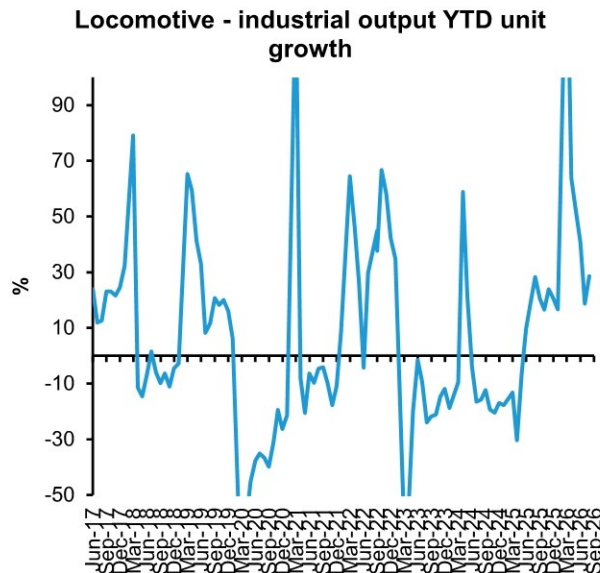
Note: The published year-to-year percent changes of the monthly YTD volume series are not always the same as the calculated year-to-year percent changes because the monthly YTD volume data come from enterprises that are not the same from year to year whereas the published growth rates are calculated from enterprises that are the same from year to year.

Source: Haver; Bernstein analysis.

EXHIBIT 24: Cement Producing Equipment: Industrial output YTD growth

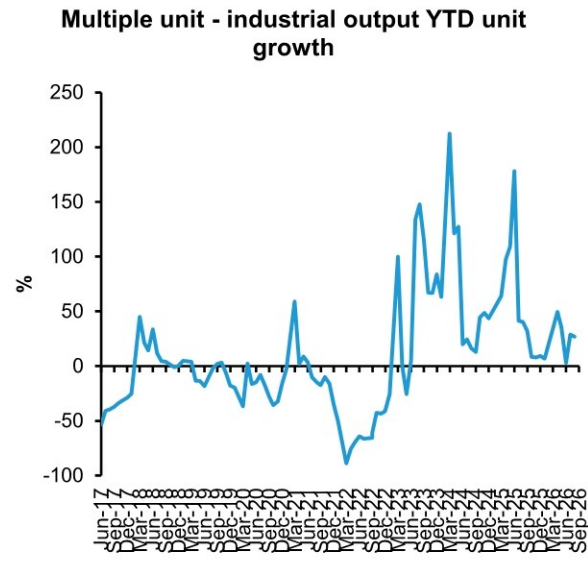
Note: The published year-to-year percent changes of the monthly YTD volume series are not always the same as the calculated year-to-year percent changes because the monthly YTD volume data come from enterprises that are not the same from year to year whereas the published growth rates are calculated from enterprises that are the same from year to year.

Source: Haver; Bernstein analysis.

EXHIBIT 25: Locomotive: Industrial output YTD growth

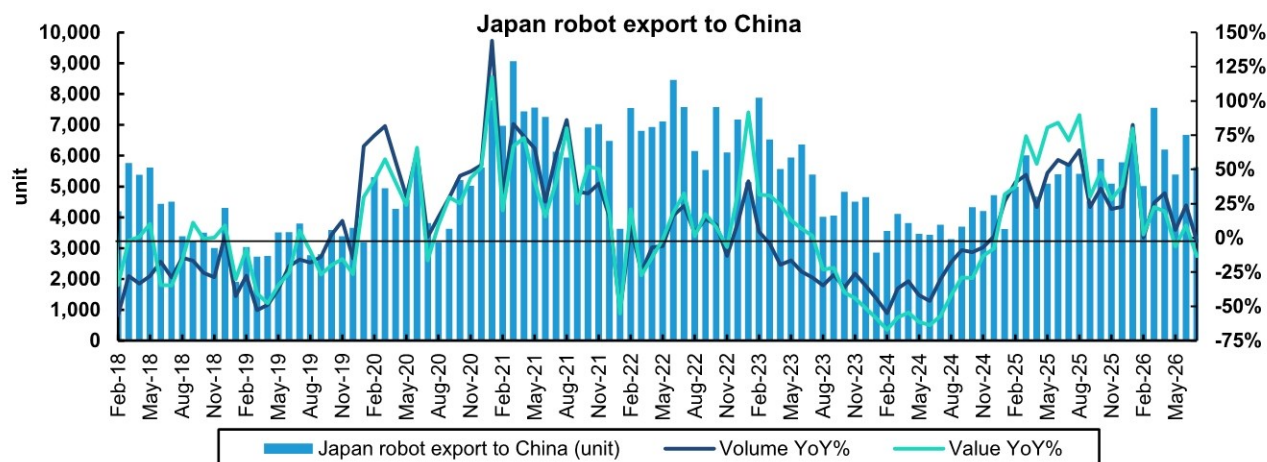
Note: The published year-to-year percent changes of the monthly YTD volume series are not always the same as the calculated year-to-year percent changes because the monthly YTD volume data come from enterprises that are not the same from year to year whereas the published growth rates are calculated from enterprises that are the same from year to year.

Source: Haver; Bernstein analysis.

EXHIBIT 26: Multiple Unit: Industrial output YTD growth

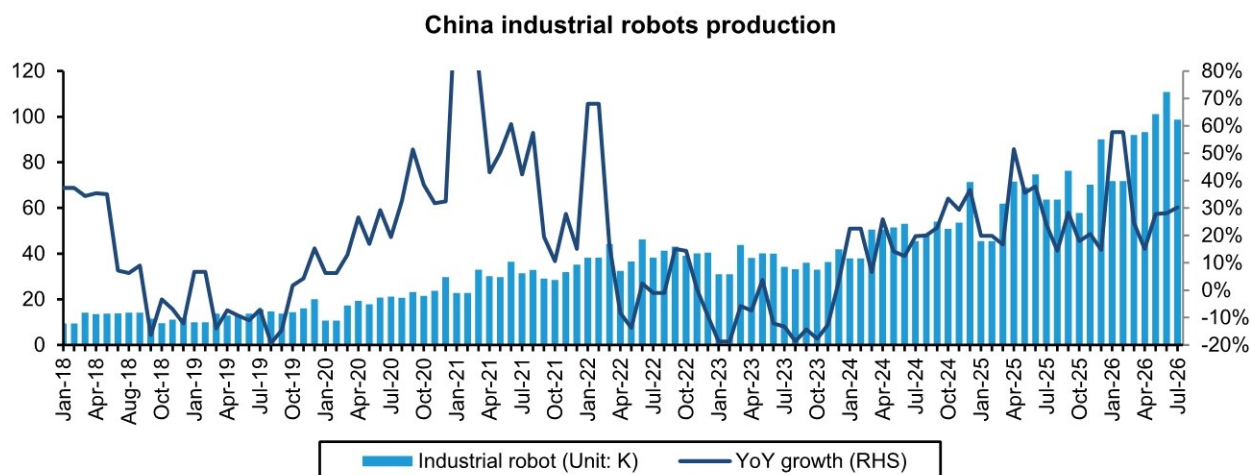
Note: The published year-to-year percent changes of the monthly YTD volume series are not always the same as the calculated year-to-year percent changes because the monthly YTD volume data come from enterprises that are not the same from year to year whereas the published growth rates are calculated from enterprises that are the same from year to year.

Source: Haver; Bernstein analysis.

EXHIBIT 27: **Growth rate of Japan robot export to China**

Note: We adjusted the export value to China in local currency to reflect the true demand.

Source: Bloomberg, Trade Statistics of Japan, Bernstein analysis

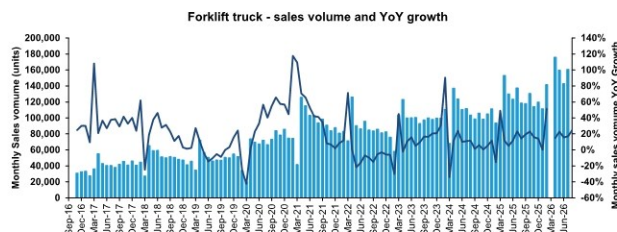
EXHIBIT 28: **China industrial robot production and YoY growth**

Note: The year-over-year percent changes of the monthly volume data do not always match the published year-over-year percent changes because the monthly volume data come from enterprises that are not the same from year to year whereas the published growth rates are calculated from enterprises that are the same from year to year. We estimates data in Jan. and Feb. as NBS reported the combined data.

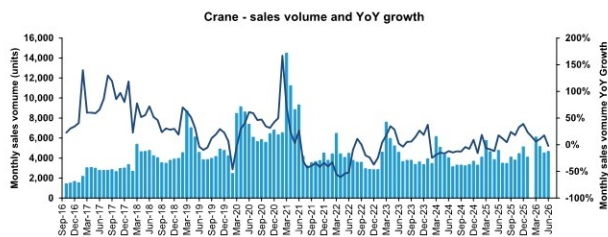
Source: Haver, Bernstein analysis

EXHIBIT 29: **Excavator: sales volume and YoY growth**

Source: Haver, Bernstein analysis

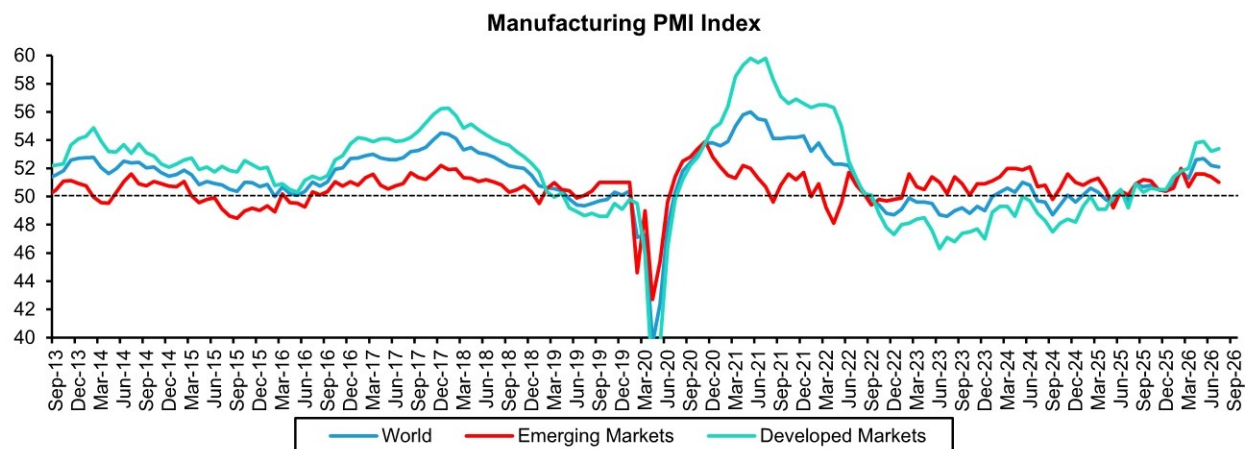
EXHIBIT 30: **Forklift Truck: sales volume and YoY growth**

Source: Haver, Bernstein analysis

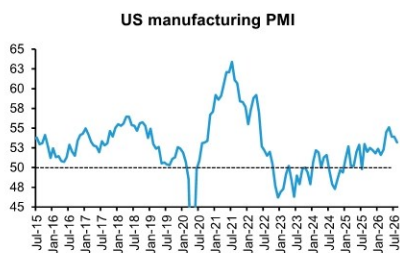
EXHIBIT 31: Crane: sales volume and YoY growth

Note: The latest available data point is April 2026

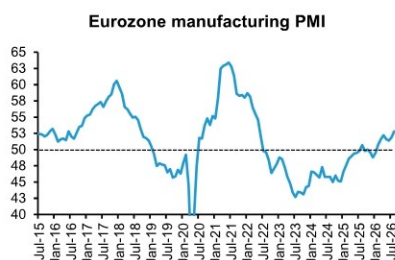
Source: Haver, Bernstein analysis

WORLD**EXHIBIT 32: Manufacturing PMI for emerging markets, developed markets, and the world total**

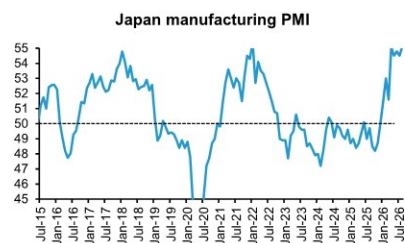
Source: Bloomberg, IHS Markit, Bernstein analysis

EXHIBIT 33: US Manufacturing PMI

Source: Bloomberg, IHS Markit, Bernstein analysis

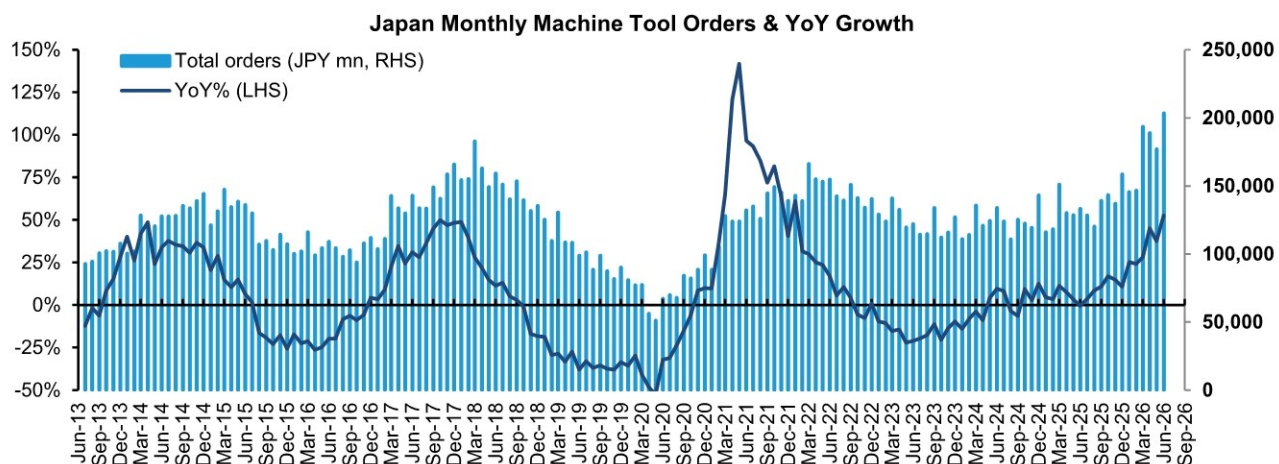
EXHIBIT 34: Eurozone Manufacturing PMI

Source: Bloomberg, IHS Markit, Bernstein analysis.

EXHIBIT 35: Japan Manufacturing PMI

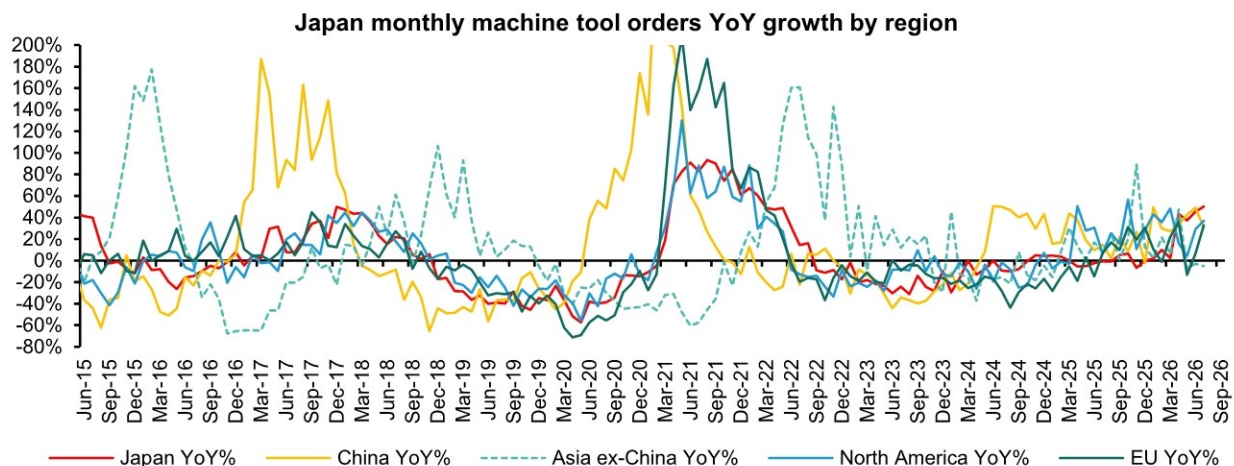
Source: Bloomberg, IHS Markit, Bernstein analysis

EXHIBIT 36: Japan total machine tool order growth trend



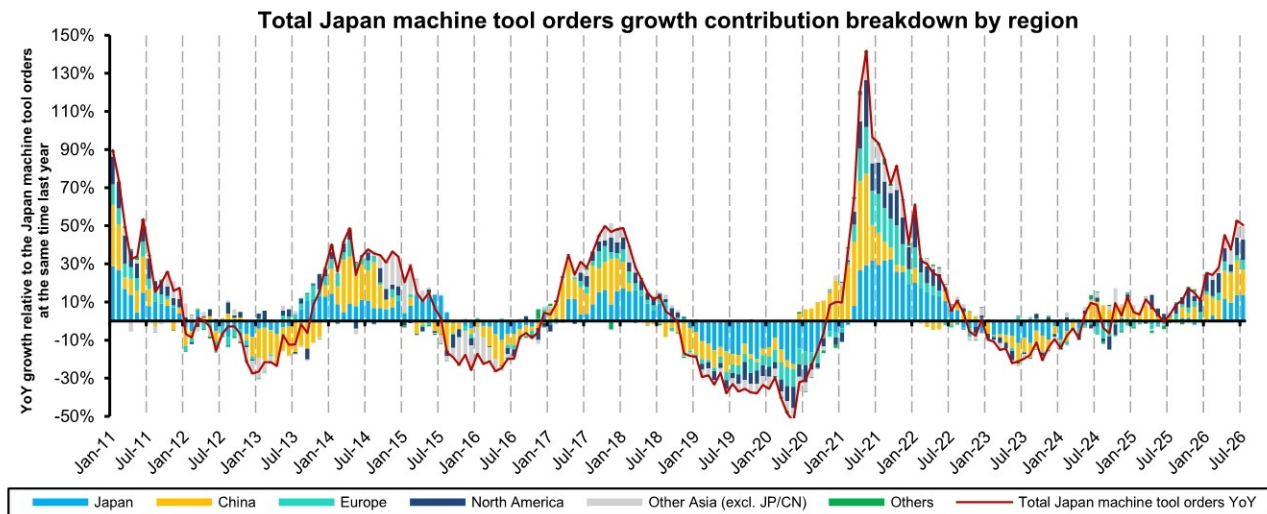
Source: JMTBA, Bloomberg, Bernstein analysis.

EXHIBIT 37: Japan machine tool orders growth by region

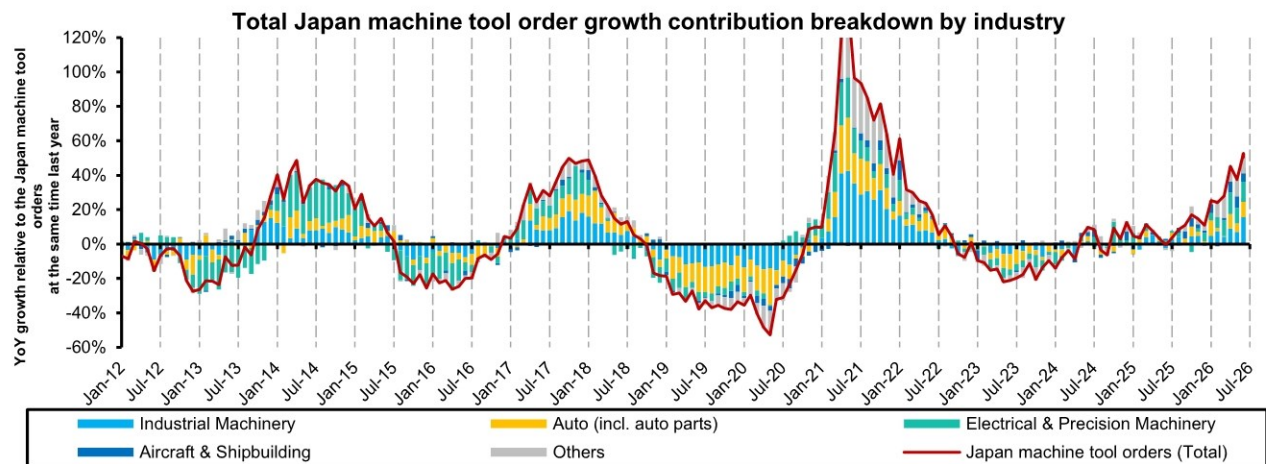


Note: We adjusted the order value from China, US, and EU to local currency to reflect the true demand

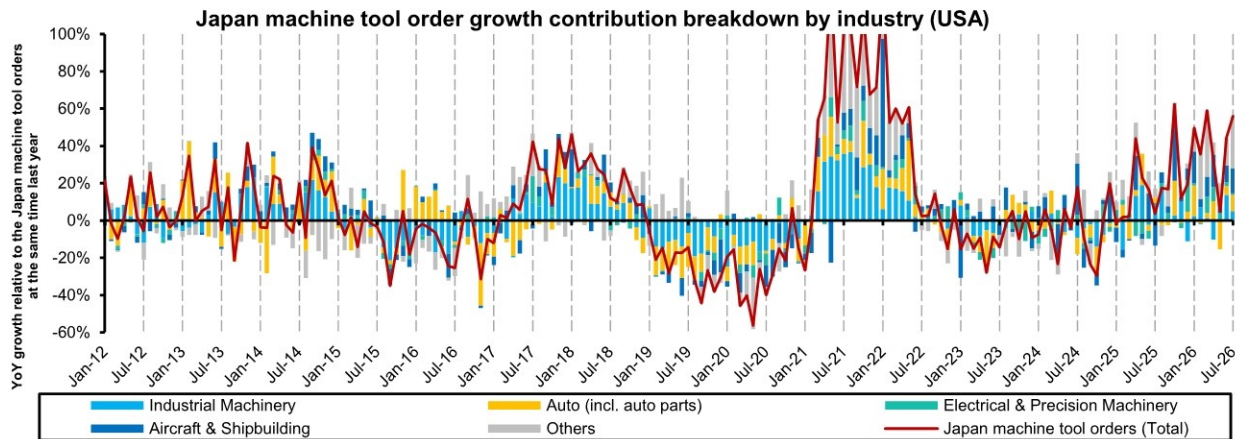
Source: JMTBA, Bloomberg, Bernstein analysis

EXHIBIT 38: Japan machine tool orders growth contribution breakdown by region

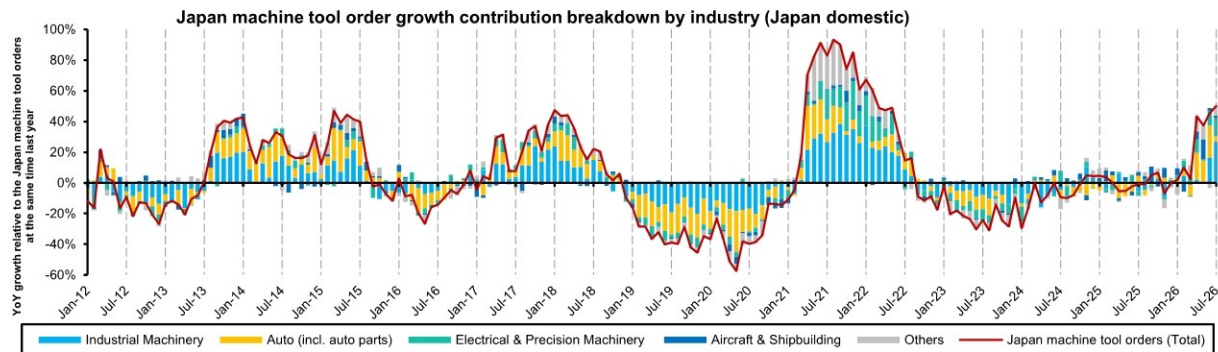
Source: JMTBA, Bernstein analysis

EXHIBIT 39: Japan machine tool orders growth contribution breakdown by industry

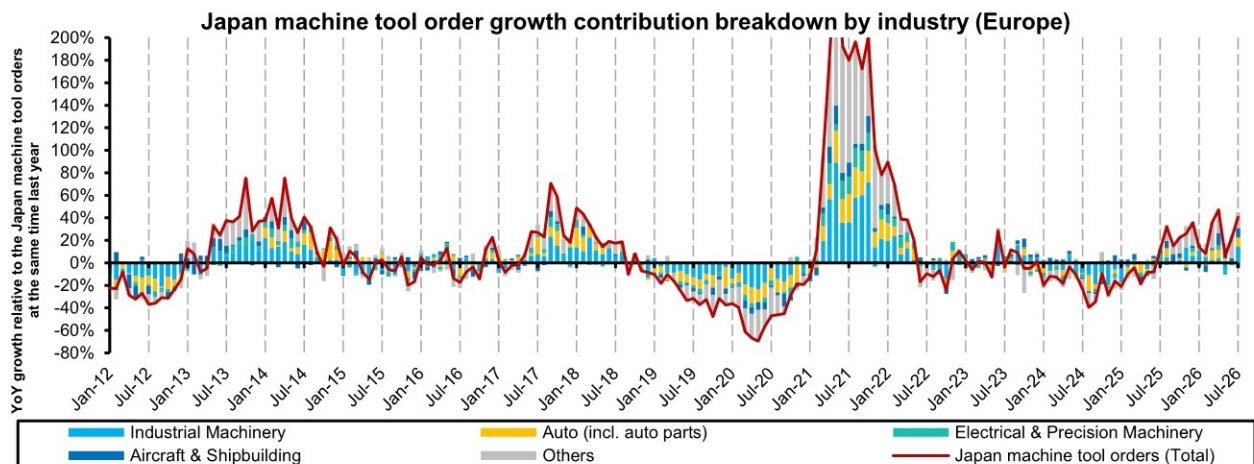
Source: JMTBA, Bernstein analysis

EXHIBIT 40: Japan machine tool order growth contribution breakdown by industry (USA)

Source: JMTBA, Bernstein analysis

EXHIBIT 41: Japan machine tool order growth contribution breakdown by industry (Japan domestic)

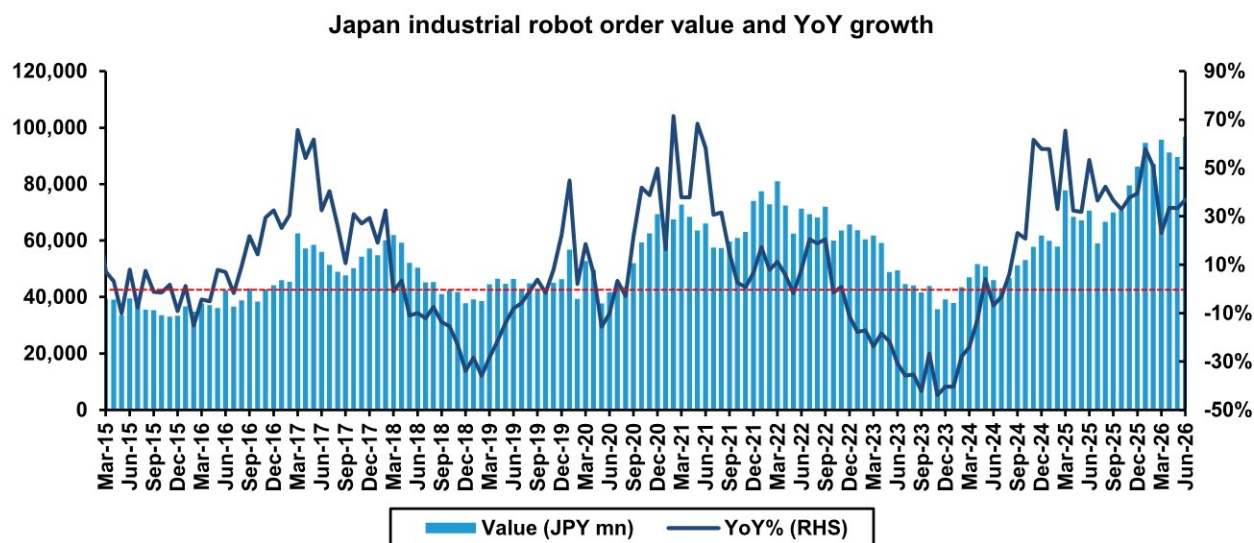
Source: JMTBA, Bernstein analysis

EXHIBIT 42: Japan machine tool order growth breakdown by industry (Europe)

Note: Europe includes both EU and non-EU countries.

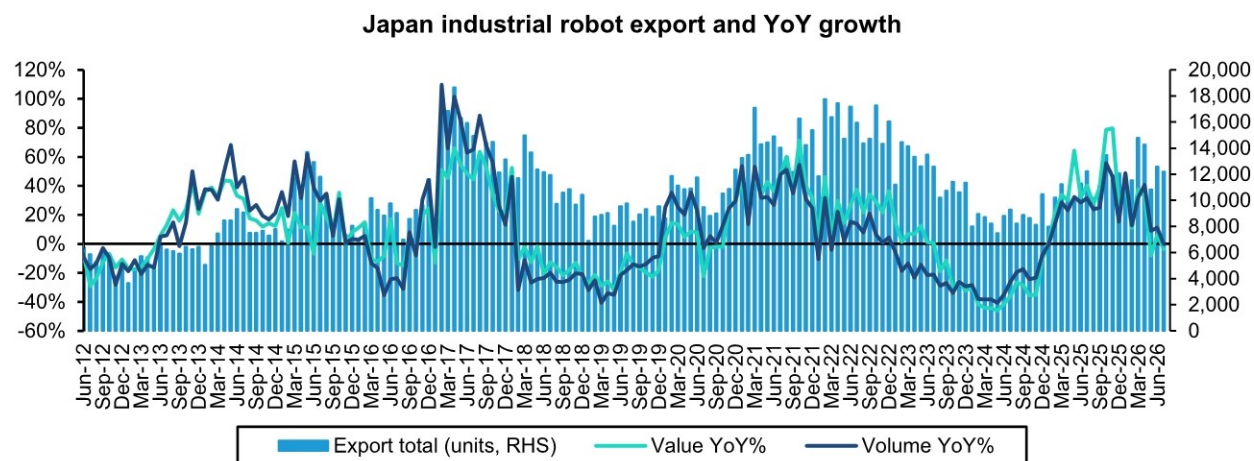
Source: JMTBA, Bernstein analysis

EXHIBIT 43: Japan industrial robot orders growth trend

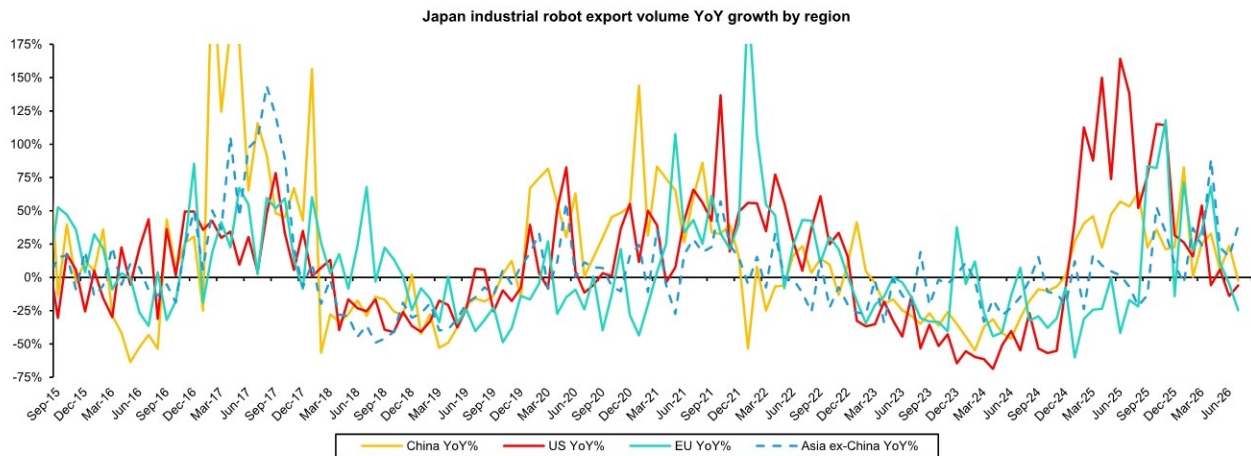


Source: Cabinet Office (Government of Japan), Bernstein analysis.

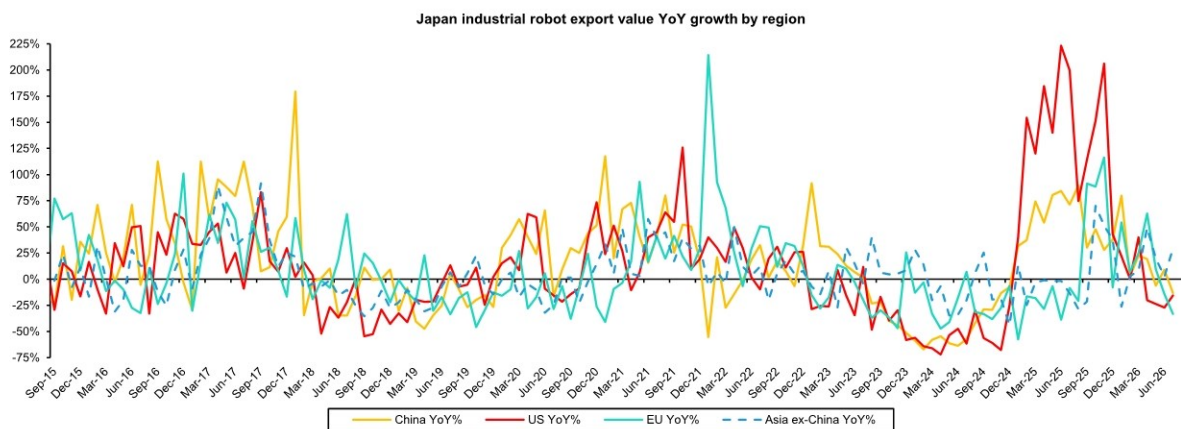
EXHIBIT 44: Japan industrial robot export value and volume growth



Source: Japan Ministry of Finance, Bernstein analysis

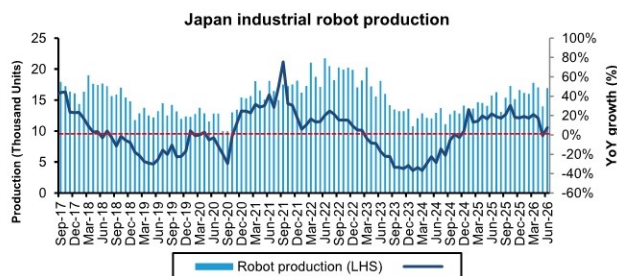
EXHIBIT 45: Japan industrial robot export volume growth by region

Source: Japan Ministry of Finance; Bloomberg, Bernstein analysis.

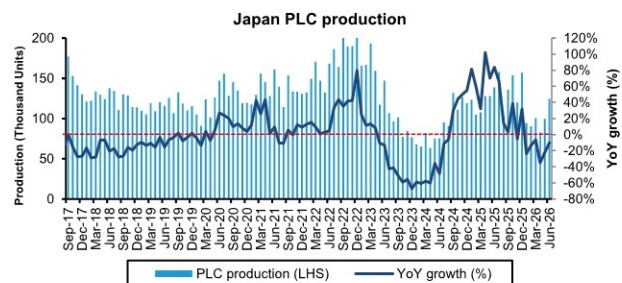
EXHIBIT 46: Japan industrial robot export value growth by region

Note: We adjusted the export value to China, US, and EU to local currency to reflect the true demand.

Source: Japan Ministry of Finance; Bloomberg, Bernstein analysis

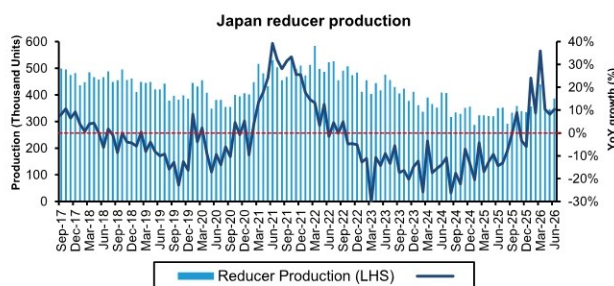
EXHIBIT 47: Japan - Robot production

Source: Ministry of Economy, Trade, and Industry (METI) of Japan, Bernstein analysis.

EXHIBIT 48: Japan - PLC production

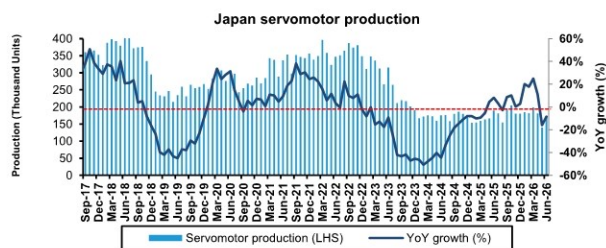
Source: METI, Bernstein analysis.

EXHIBIT 49: Japan - Reducer production



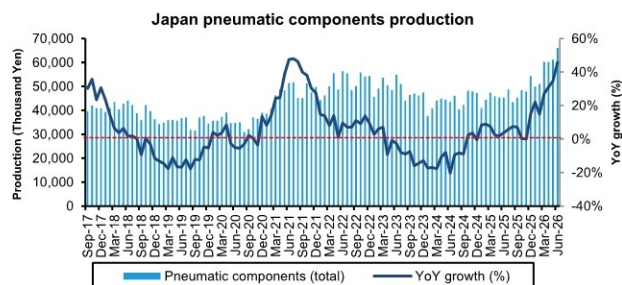
Source: METI, Bernstein analysis

EXHIBIT 50: Japan - Servomotor production



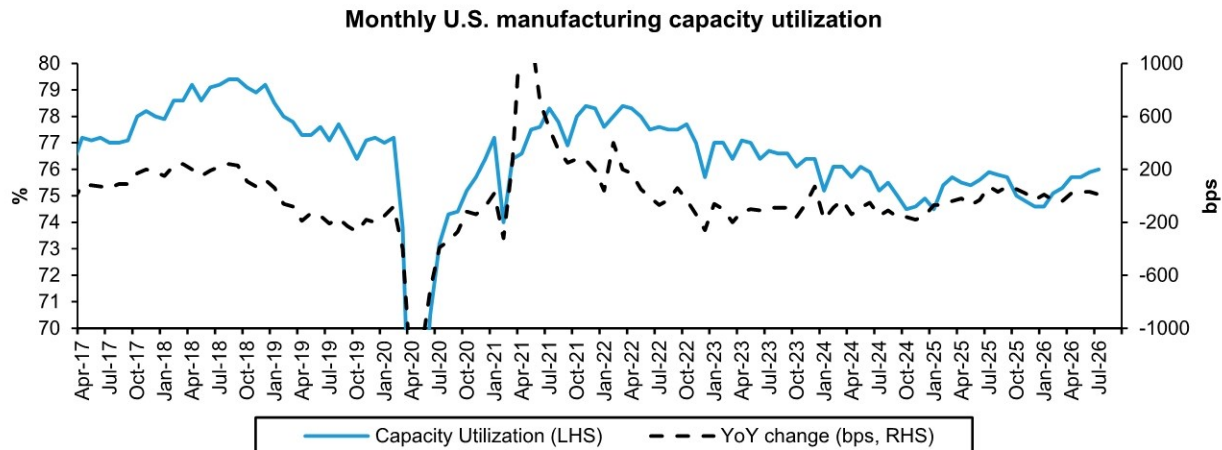
Source: METI, Bernstein analysis.

EXHIBIT 51: Japan - Pneumatic Components production



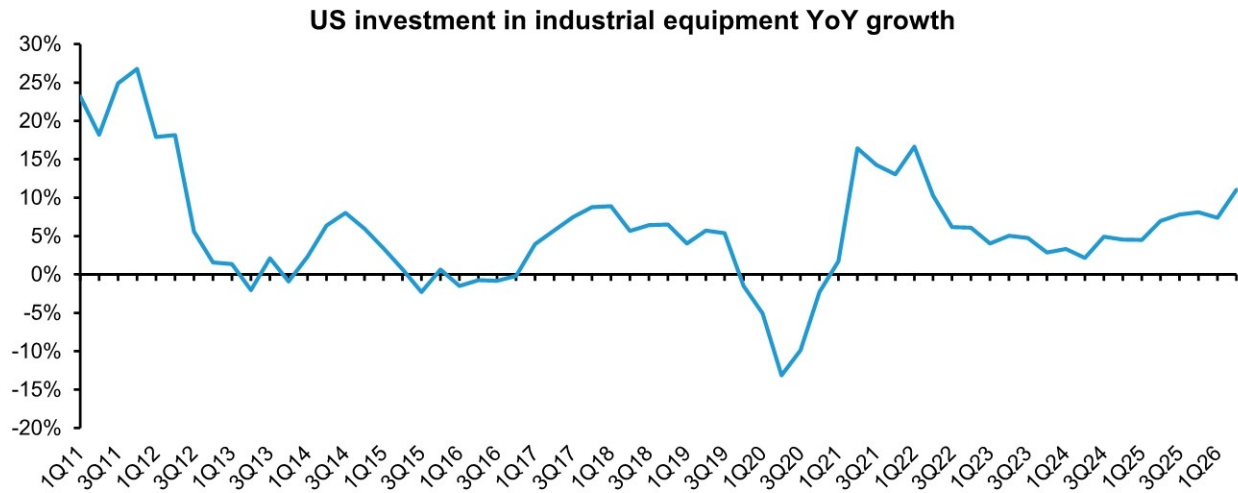
Source: METI, Bernstein analysis

EXHIBIT 52: Historical U.S. manufacturing capacity utilization by month



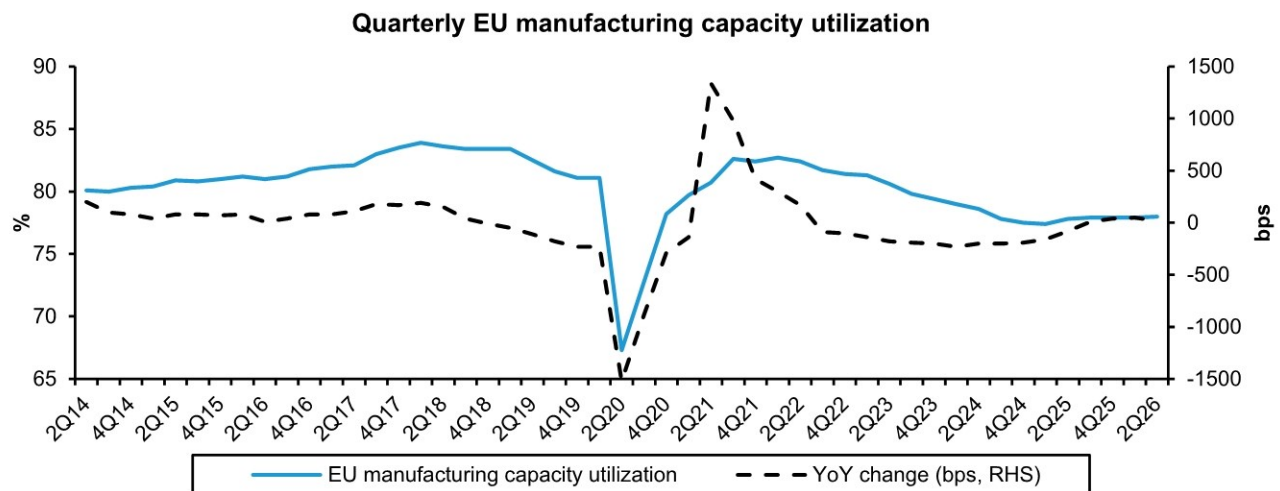
Source: Haver, Bernstein analysis

EXHIBIT 53: US YoY investment growth in industrial equipment



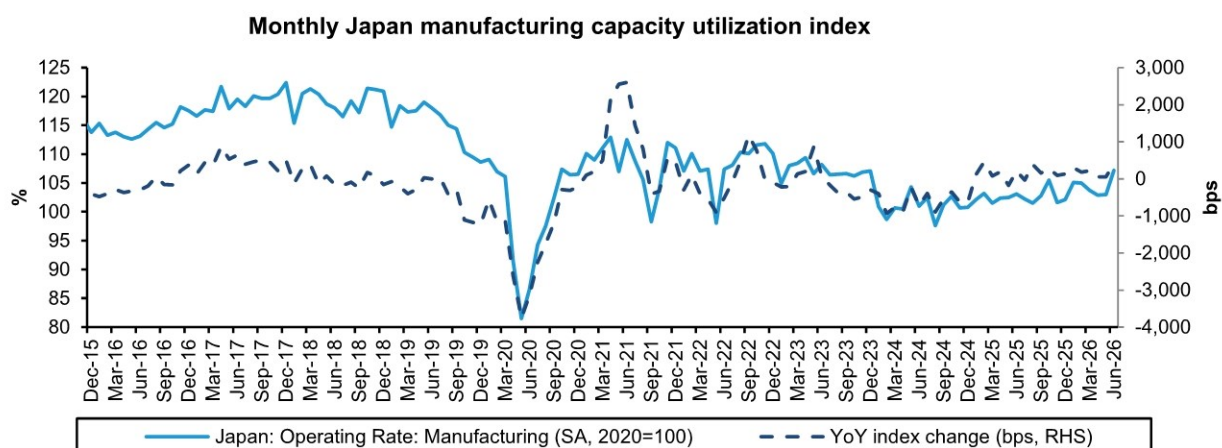
Source: Haver; US BEA; Bernstein analysis

EXHIBIT 54: Historical EU manufacturing capacity utilization by quarter



Source: Haver, Bernstein analysis.

EXHIBIT 55: Historical Japan manufacturing capacity utilization index by month



Source: Haver, Bernstein analysis.

EXHIBIT 56: Han's Laser: financial summary

(RMB Thousand)	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Revenue	11,942,483	16,332,336	14,961,185	14,091,102	14,771,215	18,758,866	28,657,106	32,893,194	30,767,580	28,937,220	33,192,133
Gross Profit	4,789,878	6,133,016	5,273,917	4,616,842	4,703,647	6,242,980	9,860,182	11,377,027	10,427,832	9,785,519	11,314,880
Operating Profit	1,034,339	2,261,443	1,322,171	823,074	1,815,771	1,551,466	3,370,587	3,854,242	2,479,005	2,416,017	2,987,910
Profit before Tax	1,066,040	2,306,759	1,317,486	824,004	1,836,097	1,553,329	3,370,407	3,862,965	2,487,728	2,424,740	2,996,633
Attributable Net Profit	978,925	1,994,493	1,214,512	820,219	1,693,900	1,189,684	2,749,311	3,518,388	2,265,822	2,208,453	2,729,333
EBITDA	1,593,695	2,737,364	2,061,847	1,612,741	2,657,037	2,290,214	4,277,880	4,872,162	3,481,441	3,401,437	4,019,260
EPS (Basic) (RMB)	0.93	1.90	1.15	0.78	1.62	1.15	2.67	3.42	2.20	2.14	2.65
EPS (Diluted) (RMB)	0.93	1.88	1.15	0.78	1.62	1.15	2.67	3.42	2.20	2.14	2.65
P/B (x)	9.6	8.0	6.5	6.1	5.7	5.2	4.0	3.5	3.3	3.1	2.8
P/E (x)	94.2	46.1	76.2	112.3	54.1	76.2	32.8	25.6	39.8	40.8	33.1
EV/IC (x)	9.7	8.6	7.2	9.3	5.9	5.9	5.3	5.0	5.1	5.1	4.9
EV/EBITDA (x)	55.0	32.0	42.5	54.3	33.0	38.3	20.5	18.0	25.2	25.8	21.8
ROIC (excl. Goodwill)	11.9%	23.4%	13.8%	11.1%	15.7%	9.7%	20.2%	22.1%	14.5%	14.4%	17.2%
ROE	10.4%	18.8%	9.3%	5.7%	10.3%	7.2%	13.5%	12.7%	7.5%	6.9%	8.0%
Gross Margin	40.1%	37.6%	35.3%	32.8%	31.8%	33.3%	34.4%	34.6%	33.9%	33.8%	34.1%
Operating Profit Margin	8.7%	13.8%	8.8%	5.8%	12.3%	8.3%	11.8%	11.7%	8.1%	8.3%	9.0%
Net Margin	8.2%	12.2%	8.1%	5.8%	11.5%	6.3%	9.6%	10.7%	7.4%	7.6%	8.2%
EBITDA Margin	13.3%	16.8%	13.8%	11.4%	18.0%	12.2%	14.9%	14.8%	11.3%	11.8%	12.1%
Revenue Growth	24.9%	36.8%	(8.4%)	(5.8%)	4.8%	27.0%	52.8%	14.8%	(6.5%)	(5.9%)	14.7%
Operating Profit Growth	54.5%	118.6%	(41.5%)	(37.7%)	120.6%	(14.6%)	117.3%	14.3%	(35.7%)	(2.5%)	23.7%
Attributable Net Profit Growth	52.4%	103.7%	(39.1%)	(32.5%)	106.5%	(29.8%)	131.1%	28.0%	(35.6%)	(2.5%)	23.6%
EBITDA Growth	51.9%	71.8%	(24.7%)	(21.8%)	64.8%	(13.8%)	86.8%	13.9%	(28.5%)	(2.3%)	18.2%

Source: Han's Laser, Bernstein analysis and estimates

EXHIBIT 57: Estun: financial summary

(RMB million)	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Revenue	2,510	3,020	3,881	4,652	4,009	4,888	5,224	5,720	5,697	6,376	7,506
Gross Profit	857	983	1,314	1,485	1,185	1,440	1,662	1,826	1,801	2,034	2,394
Operating Profit	132	145	245	149	-791	70	348	368	347	444	536
Profit before Tax	158	166	263	167	-775	77	359	379	358	457	551
Attributable Net Profit	128	122	166	135	-810	45	286	290	274	349	422
EBITDA	352	300	465	434	-457	421	697	700	662	761	858
EPS (Basic) (RMB)	0.15	0.14	0.19	0.16	-0.93	0.05	0.30	0.30	0.28	0.36	0.44
EPS (Diluted) (RMB)	0.15	0.14	0.19	0.16	-0.93	0.05	0.30	0.30	0.28	0.36	0.44
P/B (x)	15.2	10.4	9.9	10.1	15.3	14.0	8.8	8.3	7.8	7.3	6.7
P/E (x)	209.9	224.9	165.7	196.8	(33.9)	629.8	103.4	105.1	111.3	87.2	72.3
EV/IC (x)	7.5	7.0	6.2	5.3	5.3	5.2	5.4	5.4	5.7	5.5	5.3
EV/EBITDA (x)	88.6	103.9	67.1	71.8	(68.3)	74.1	44.8	44.6	47.1	41.0	36.4
ROIC (excl. Goodwill)	4.8%	4.9%	5.2%	3.0%	(18.2%)	0.8%	5.9%	6.5%	6.3%	8.2%	9.5%
ROE	6.9%	5.6%	6.2%	4.9%	(36.1%)	2.4%	10.5%	8.1%	7.2%	8.6%	9.6%
Gross Margin	34.1%	32.5%	33.9%	31.9%	29.6%	29.5%	31.8%	31.9%	31.6%	31.9%	31.9%
Operating Profit Margin	5.3%	4.8%	6.3%	3.2%	(19.7%)	1.4%	6.7%	6.4%	6.1%	7.0%	7.1%
Net Margin (attributable)	5.1%	4.0%	4.3%	2.9%	(20.2%)	0.9%	5.5%	5.1%	4.8%	5.5%	5.6%
EBITDA Margin	14.0%	9.9%	12.0%	9.3%	(11.4%)	8.6%	13.3%	12.2%	11.6%	11.9%	11.4%
Revenue Growth	58.7%	20.3%	28.5%	19.9%	(13.8%)	21.9%	6.9%	9.5%	(0.4%)	11.9%	17.7%
Operating Profit Growth	92.3%	9.2%	69.3%	(39.3%)	(632.7%)	n.a.	399.7%	5.6%	(5.8%)	28.1%	20.8%
Attributable Net Profit Growth	104.0%	(4.8%)	36.3%	(18.8%)	(700.1%)	n.a.	535.0%	1.6%	(5.6%)	27.6%	20.7%
EBITDA Growth	66.9%	(14.7%)	55.0%	(6.6%)	(205.2%)	(192.1%)	65.6%	0.5%	(5.4%)	14.9%	12.7%

Source: Estun, Bernstein analysis and estimates

INVESTMENT IMPLICATIONS

Reiterate Outperform for Keyence, FANUC, Inovance, SMC, AirTAC, Cognex, Hikvision, Han's Laser, IPG Photonics, and Harmonic Drive; Market-Perform for Estun.

For Han's Laser, we reiterate Outperform rating and lower the price target to RMB100 (was RMB130), based on an EV/EBITDA multiple of 24.0x applied to 1-yr forward-looking EBITDA estimates (from the PT date) of RMB 4,184mn (vs. 35.0x to RMB 3,742mn). We roll our price target date to June 2027 (was December 2026).

For Estun, we reiterate Market-Perform rating. Our price target of RMB31.6 (A-share, was RMB26) and HKD 17.1 (H-share) are based on an EV/EBITDA multiple of 45.5x against our 1-year forward EBITDA estimate of RMB681.4mn (vs. 35.9x to RMB 677.2mn). We roll our price target date to June 2027 (was December 2026).

BERNSTEIN TICKER TABLE

			28 Aug 2026		TTM	Reported EPS				Reported P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
CGNX (Cognex)	O	USD	60.46	85.00	18.7%	USD	0.67	1.57	1.80	90.2	38.5	33.7
6954.JP (Fanuc)	O	JPY	6,052.00	7,200.00	8.0%	JPY	178.47	221.78	207.13	33.9	27.3	29.2
002008.CH (Hans Laser)	O	CNY	87.62	100.00	101.9%	CNY	1.15	2.67	3.42	76.2	32.8	25.6
OLD				130.00				2.15	2.48			
IPGP (IPG Photonics)	O	USD	76.53	122.00	(28.6)%	USD	0.73	1.14	2.67	104.8	66.9	28.6
6861.JP (Keyence)	O	JPY	82,960	95,000	9.3%	JPY	1,835.62	2,420.47	2,675.94	45.2	34.3	31.0
300124.CH (Inovance)	O	CNY	62.05	82.00	(49.3)%	CNY	1.87	2.19	2.65	33.2	28.3	23.4
002415.CH (Hikvision)	O	CNY	35.10	45.00	(19.4)%	CNY	1.55	2.08	2.14	22.7	16.9	16.4
6324.JP (HDSI)	O	JPY	5,750.00	7,800.00	86.2%	JPY	16.99	57.37	79.51	338.4	100.2	72.3
1590.TT (AirTAC)	O	TWD	1,415.00	1,570.00	47.3%	TWD	41.97	57.19	59.53	33.7	24.7	23.8
6273.JP (SMC)	O	JPY	70,300	89,000	17.3%	JPY	2,640.86	3,671.13	3,655.58	26.6	19.1	19.2
002747.CH (Estun)	M	CNY	31.49	31.60	(0.3)%	CNY	0.05	0.30	0.30	629.8	103.5	105.1
OLD				26.00				0.31	0.32			
2715.HK (Estun)	M	HKD	17.05	17.12	NA	CNY	0.05	0.30	0.30	341.0	56.0	56.9
OLD				17.26				0.31	0.32			
SPX			7,711.76									
JPL			2,690.35									
ASIAx			1,972.56									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

6954.JP, 6861.JP, 6273.JP base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

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Bernstein brand stock ratings are based on a 12-month time horizon.

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

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DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.

As of June 30, 2026. All figures are updated quarterly.

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